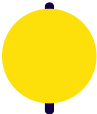




Early-stage refers to the very early days of any business, primarily when the business has just taken off and the product has just been launched. At this stage, we are making investments from our pockets and the business is not making any money. We will draw on our assets or savings to sustain us during this period if we have already quit our jobs.

The second stage is – growth stage. In growth stage, we are still putting in money from our end. The business has started earning money and the business is growing rapidly. The money made by the business is being re-invested in the business. At this stage, we can also consider an outside to fund our business. Till this point, the business consumes money and is not in a stage to release money.



The next stage is – mature stage. Now the business has grown and has captured good market. All the functions of the business are well funded. There is not much room for the business to grow in the same space. If our business is at a mature stage, we can expect that the business does not need any further investment from us. The business would be giving us steady cash outflow. Here, we can depend on the business to fulfil our financial needs.

The last stage is the decline stage where the businesses start failing. This could be because some other product, competitor, or business model is gaining prominence. We try to make changes to the business so that it can survive longer. Here again, the business is in a position to provide for profits and a lot of assets tied up with the business get free at this stage.



We can see that businesses in the early-stage and the growth-stage will not be able to support us financially. They will need investments from us directly. In the mature stage and decline, the company will pay out a lot of profits. Also, it is during this stage that a lot of capital tied to the business is freed at this stage.